

CITATION: Graham v. Vandersoot et al, 2011 ONSC 377
COURT FILE NO.: 05-21581(Hamilton)
DATE: 2011-01-18

ONTARIO
SUPERIOR COURT OF JUSTICE

BETWEEN:	)	
	)	
Kelly Graham	)	
	)	Lou Ferro, for the Plaintiff
Plaintiff	)	
	)	
– and –	)	
	)	
Patricia Vandersoot and Pilot Insurance	)	Grant Black, for the Defendants
Company	)	
	)	
Defendants	)	
	)	
	)	
	)	HEARD: January 6, 2011

THE HONOURABLE MR. JUSTICE P. B. HAMBLY

[1] This is a motion by the plaintiff for leave to appeal the refusal of an adjournment of a trial.

The Facts

[2] Kelly Graham is age 30. She has two children age 5 and 6. She is a single parent. On February 20, 2005 in Winona, near Hamilton, Ontario she was involved in a motor vehicle accident. She was a passenger in the in the middle of the back seat of a taxi van. Her infant child was with her. The taxi was struck on the passenger side by another vehicle. She was seven months pregnant with her second child. The impact of the accident caused the seatbelt that she

was wearing to break away from its anchor. She was thrown against the seat in front of her. She alleges that she suffered soft tissue injuries to her neck and back as a result of the accident.

[3] After the accident she attended at the emergency department of a hospital. After seven hours she was released. She subsequently received physiotherapy and chiropractic treatment. She gave birth to her second child without complications. There is no suggestion that the accident affected her pregnancy or that the infant who was with her was injured. She had been working as a waitress. At the time of the accident she was on maternity leave.

[4] She resided in Prince Edward Island with her two children between about October, 2007 and March, 2009 when she returned to Ontario. She worked for an undetermined period of time in Prince Edward Island as a waitress. She attempted to work as a waitress in Hamilton at a bar in May, 2010. She alleges that she was unable to do the work as a result of the injuries that she suffered in the motor vehicle accident. She left this employment in August, 2010.

[5] She commenced an action against the owner of the taxicab and Pilot Insurance. I was informed that the taxi was uninsured. The reasons for the plaintiff suing Pilot Insurance are not clear. Pilot may be the plaintiff's own auto insurer. In any event Pilot Insurance does not dispute that it is liable for the damages resulting from the plaintiff's injuries suffered in the motor vehicle accident.

[6] The statement of claim was issued on December 1, 2005 and a statement of defense was filed on January 20, 2006. Mr. L Ferro represents the plaintiff and Mr. G Black represents the defendants. Examinations for discovery were conducted on October 27, 2006. The defendants served a trial record on June 6, 2008 and placed the action on a trial list. In September, 2008, on

consent, the action was struck from the trial list on the advice of a lawyer in Mr. Ferro's office that the plaintiff had commenced another action for injuries suffered in another accident and the 2 actions should be tried together. It is agreed that this information was incorrect and the lawyer in Mr. Ferro's office made a mistake. By order dated May 5, 2009, on consent, the action was restored to the trial list. At an assignment court on July 17, 2009, on consent, the case was set to be tried at the sittings commencing on September 13, 2010.

[7] Mr. Ferro brought a motion for an adjournment on September 7, 2010. It was supported by an affidavit from Mr. Ferro's law clerk, Serena Kanji, sworn August 27, 2010. She stated that the plaintiff attended for a psychological assessment by Dr. Armenia in May, 2010. The report of the doctor had not been received. There is no indication whether it had yet been received when I heard the motion on January 6, 2011. She stated that the plaintiff required a medical examination with neurological testing "to assess the probability of nerve root damage as she has been experiencing symptoms of numbness and tingling in her left arm since the accident". She stated that the plaintiff did attend for a medical examination by a neurologist but the Doctor was unable to see her because she attended late through no fault of her own. She does not indicate the date of the appointment. Another appointment could not be obtained in time to serve the report as required by the rules in time for the trial. She also stated that she wished to obtain an economic damages assessment which had not been done. The motion was denied.

[8] I was informed that the action was called for trial and was dismissed during the sittings commencing September 13. It was dismissed because the plaintiff was unable to present evidence. I was further informed that the dismissal of the trial has been appealed to the Court of Appeal.

[9] The plaintiff attended for an assessment by Dr. A. Porte on June 17, 2008 at the request of the defendants. She reported to him that she was suffering pain in her shoulders, middle and low back and left hip. She described a grinding sensation in her left hip. Dr. Porte was of the opinion that she had suffered a "Whiplash Associated Disorder Grade II" injury. His opinion was that she had "reached the point of maximum medical rehabilitation". It was his opinion that she had not sustained a permanent injury of a physical function. He qualified this opinion as follows:

note my comments with regard to the dull crepitant feeling with relation to her left greater trochanteric area which is thought to be a residua of a thickened greater trochanteric bursa in a tight iliotibial band. (p. 11 of report)

As I read the doctor's report he attributed this to the accident.

[10] At the request of the Zürich insurance company Ms. Graham was assessed by Dr. Frank D. Ramelli who is a chiropractor. The role of the Zürich insurance company in this matter was not explained. I must assume that it is the no-fault insurer. His report dated July 22, 2010 focused on her ability to do housekeeping and hence her entitlement to housekeeping benefits. She reported to him ongoing pain in her neck and back. He did a detailed functional analysis of her capacity to do housekeeping. He stated the following:

At present, the applicant is not functionally (functioning) fully her housekeeping duties and caregiving tasks, though must perform some with significant modifications to minimize exacerbation.

...

With respect to post accident, the patient experiences pain ongoing and has also led to functional deficits in performing activities of daily living and personal care needs.

Ms. Graham suffered a motor vehicle accident related injury from which she continues to experience pain. This has led to significant functional deficits resulting in a substantial inability to perform her pre-accident housekeeping and home maintenance tasks as well as her delivery of appropriate child care.

These are noted by her functional limitations in her ability to sustain prolonged postures such as standing, crouching/bending, strength demands, endurance tasks and lifting as they pertain to housekeeping and general daily child care duties.

In an effort to facilitate the patient's overall recovery and functional independence while reinforcing the therapeutic benefits of her supervised treatment and rehabilitation to date, the above-mentioned housekeeping assistance and child care support is being recommended.

Analysis

Relevant Rules Of Civil Procedure

RULE 1.04

General Principle

1.04 (1) These rules shall be liberally construed to secure the just, most expeditious and least expensive determination of every civil proceeding on its merits.

COURT MAY DISPENSE WITH COMPLIANCE

RULE 2.03

2.03 The court may, only where and as necessary in the interest of justice, dispense with compliance with any rule at any time.

CONSEQUENCES OF SETTING DOWN OR CONSENT

RULE 48.04

48.04 (1) Any party who has set an action down for trial and any party who has consented to the action being placed on a trial list shall not initiate or continue any motion or form of discovery without leave of the court.

(2) Subrule (1) does not,

- (a) relieve a party from complying with undertakings given by the party on an examination for discovery;
- (b) relieve a party from any obligation imposed by,
 - (vi) rule 53.03 (service of report of expert witness), or

CONSEQUENCES OF ACTION BEING PLACED ON TRIAL LIST

RULE 48.07

48.07 Where an action is placed on a trial list,

- all parties shall be deemed to be ready for trial; and
- (b) REVOKED: O. Reg. 438/08, s. 44, effective January 1, 2010 (O. Gaz. December 27, 2008).
- (c) the trial shall proceed when the action is reached on the trial list unless a judge orders otherwise.

RULE 52 - TRIAL PROCEDURE

RULE 52.02

52.02 A judge may postpone or adjourn a trial to such time and place, and on such terms, as are just.

EXPERT WITNESSES

RULE 53.03

53.03 (1) A party who intends to call an expert witness at trial shall, not less than 90 days before the pre-trial conference required under Rule 50, serve on every other party to the action a report, signed by the expert, containing the information listed in subrule (2.1).

MOTION FOR LEAVE TO APPEAL

RULE 62.02

Leave to Appeal from Interlocutory Order of a Judge

62.02 (1) Leave to appeal to the Divisional Court under clause 19 (1) (b) of the Act shall be obtained from a judge other than the judge who made the interlocutory order.

(4) Leave to appeal shall not be granted unless,

- (a) there is a conflicting decision by another judge or court in Ontario or elsewhere on the matter involved in the proposed appeal and it is, in the opinion of the judge hearing the motion, desirable that leave to appeal be granted; or
- (b) there appears to the judge hearing the motion good reason to doubt the correctness of the order in question and the proposed appeal involves matters of such importance that, in his or her opinion, leave to appeal should be granted.

Case law

[11] In *Khimji v. Dhanani* (2004), 69 O.R. (3d) 790 (C.A.) the plaintiff's lawyer obtained an order removing himself from the record about three months before the trial was set to take place. The Plaintiff appeared at the date set and requested an adjournment. The adjournment was granted subject to an order that he pay the defendants' costs and that he appear for trial about one month later ready to proceed with or without counsel. He did not pay the costs ordered and was not ready to proceed on the date that was set. The trial judge dismissed the action. The Plaintiff appealed to the Court of Appeal. The majority of the panel which heard the case upheld the trial judge's decision in the judgment of Justice Doherty to dismiss the case because the plaintiff had not complied with the trial judge's order. The Court of Appeal was unanimous in agreeing on the principles that applied are set out in the judgment of Justice Laskin. He stated the following:

14 A trial judge enjoys wide latitude in deciding whether to grant or refuse the adjournment of a scheduled civil trial. The decision is discretionary and the scope for appellate intervention is correspondingly limited. In exercising this discretion, however, the trial judge should balance the interests of the plaintiff, the interests of the defendant and the interests of the administration of justice in the orderly processing of civil trials on their merits. In any particular case several considerations may bear on these interests. A trial judge who fails to take account of relevant considerations may exercise his or her discretion unreasonably and if, as a result, the decision is contrary to the interests of justice, an appellate court is justified in intervening. In my opinion, that is the case here.

15 ... The adjournment would not have disrupted the court's trial schedule. It would not have prejudiced the other side, which had already been granted a much longer adjournment. And, though the appellant had not paid the costs ordered on November 12, he had an explanation for not having done so. In these circumstances the order depriving the appellant of his right to pursue his claim was simply wrong. It was contrary to the interests of justice. It should not be allowed to stand.

18 ... Courts should not be too quick to deprive litigants of a decision on the merits. The trial judge does not appear to have sufficiently taken into account that his order deprived the parties, especially the appellant, of a determination of "the real matters in dispute".

19 Under our modern Rules non-compensable prejudice plays a pivotal role in deciding whether to grant an amendment or an adjournment.

24 ... Denying the appellant a further adjournment in the absence of any prejudice to the respondents is contrary to the interests of justice. The appellant should be allowed to maintain his action.

[12] In *Ariston Realty Corp v. Eleairim Inc.* [2007] O.J. No. 1497 a self represented party waived her right to an examination for discovery. She retained counsel who brought a motion for an order restoring this right. A master denied the motion. Justice P.M. Perell allowed an appeal from the Masters order. He referred to *Khimji* and other cases in the Court of Appeal which dealt with the issue of when a party should be allowed an adjournment in a civil proceeding. He stated the following:

33 These cases (*Khimji* and others) about the law associated with opposed requests for an adjournment reveal that the granting or the refusing of an adjournment is a discretionary act, and an appellate court will not interfere with the exercise of the discretion unless it is shown that the judge or master failed to exercise his or her discretion judicially.

36 Where a judge fails to take into account relevant considerations he or she may exercise his or her discretion unreasonably, and if the result is contrary to the interests of justice, an appellate court is justified in intervening: *Khimji v. Dhanani*, *supra* per Laskin, J.A. at para. 14. Laskin, J.A. delivered a dissenting judgment, but the majority agreed with his articulation of the legal principles.

37 While as a matter of appellate review, deference must be given to the discretionary decision of a judge or master whether to grant or refuse an adjournment, a review of the recent judgments of the Court of Appeal reveal that it may be a highly contentious point whether or not a judge or master has properly exercised his or her discretion. Put somewhat differently, while it is difficult to overturn a judge's decision about an adjournment, it remains a viable ground of appeal. Thus, we see divided appellate courts in *Khimji v. Dhanani*, *supra* and

Griffin v. O'Brien, supra where there are fulsome debates in the majority and the dissenting judgments about whether it was right or wrong for a trial judge to refuse an adjournment.

38 In my opinion, a concern for the principles of natural justice and the appearance of justice being done explains why, perhaps to the chagrin of those opposing adjournments and indulgences, courts should tend to be generous rather than overly strict in granting indulgences, particularly where the request would promote a decision on the merits. This liberality follows because it is in the public interest that whatever the outcome, a litigant should perceive that he or she had their day in court and a fair chance to make out their case.

40 ... At the price of costs and a modest delay, Master Sprout could have maintained a level playing field for the contest.

[13] In *Greslik v. Ontario Legal Plan* [1988] O.J. No. 525 the Divisional Court in the judgment of A.C.J.H.C. Callaghan (as he then was) in regard to the requirements for leave to appeal in Rule 64.04(4) (b) stated the following:

The conditions for granting leave are conjunctive. A judge hearing such an application must have good reason to doubt the correctness of the decision. He must also be satisfied that the matters involved are of "such importance" that in his opinion leave should be granted. We wish to draw to the attention of the members of this court and the profession at large that those words refer to matters of general importance, not matters of particular importance relevant only to the litigants. General importance relates to matters of public importance and matters relevant to the development of the law and the administration of justice.

Decision of Motions Judge

[14] In her reasons the motions judge stated the following:

1. that there was prejudice as a result of memories failing because of the passage of time;
2. that the plaintiff had an opportunity to obtain the reports which she stated that she needed;
3. that the plaintiff had failed to comply with her obligation to move her case along;

4. that to adjourn the matter "yet again" would bring the administration of justice into disrepute

In my view, with respect, these reasons cannot withstand scrutiny in light of the case law set out above.

[15] In fact it was not the plaintiff but the plaintiff's counsel who failed to arrange for her to attend at a neurologist to obtain an assessment with neurological testing that explored the possibility of nerve root damage and depending on the opinion of the neurologist an economic damages assessment. It was the plaintiff's counsel and not the plaintiff herself who has failed to move the case along. In my view the often applied principle that the sins of the lawyer should not be visited upon the client applies in this case.

[16] This was not a case where there had been multiple adjournments and to grant an adjournment would be to adjourn the case "yet again". In fact there had been no other adjournments. The case had previously been removed and then restored to the trial list on consent.

[17] Mr. Ferro who appeared for his client argued that the delay would not result in prejudice to the defendant which could not be compensated for in costs. Liability is admitted. Counsel for the defendant could refer to no witnesses that he would call whose memory might be impaired by the passage of time. The prejudice as a result of fading memories with the passage of time could only be to the plaintiff. The memory of the plaintiff herself as well as any witnesses that she might call who could confirm her pain and suffering from the time of the accident might be expected to be impaired with the passage of time. This could only be to the benefit of the defendant. I agree with these submissions.

[18] Also the adjournment on the eve of trial could be expected to result only in minimal legal costs to the defendant that would be wasted. There was little for counsel for the defendants to prepare for the trial other than a doctor whom he had retained and a chiropractor whom the no-fault insurer would have appear to have retained. The reports are both detailed and complete. Calling them as witnesses would involve little more than the witnesses going through their reports. If the adjournment had been granted a trial could realistically have been expected to take place in a year's time in September, 2011. The preparation that counsel for the defendants would have been required to do for a new trial would have to be duplicated to some extent. However the preparation that he had already done would not be lost totally. It would be reasonable to grant the adjournment on a term that the plaintiff pay the costs thrown away as a result of the adjournment to the defendants. If the plaintiff is impecunious which she likely is it might be reasonable that these costs be ordered to be paid after the trial or on settlement.

[19] It would seem that the plaintiff is a young woman who is a single mother whose capacity to produce income is dependent upon her being able to do waitress work. This is work from which most of us benefit. It also appears that she received an injury which may have at least partially disabled her from doing this kind of work. The administration of justice would be brought into disrepute by not hearing her case on the merits as a result of the failure of her lawyer properly to prepare the case. There is a forum for the discipline of lawyers apart from trial courts.

[20] This is not the appeal. It is a motion for leave to appeal. I am of the view that the plaintiff has satisfied both branches of both parts of Rule 62.02(4)(a) and (b). The principles set out in *Kimhji* and *Ariston* referred to above conflict with the decision of the motions judge and it

is my opinion desirable that leave to appeal be granted. I am also of the view that there is good reason to doubt the correctness of Justice 's decision and the proposed appeal involves matters of such importance that leave to appeal should be granted. Whether a litigant with an apparently meritorious case should be granted an adjournment of her trial as a result of the failure of her lawyer properly to prepare her case in my view raises a matter of general importance within the meaning of the principle set out in *Greslik* referred to above.

Result

[21] The motion as asked is allowed. The plaintiff has been granted an indulgence on a legal point upon which there is much authority on either side. My threshold view is that there should be no costs. If counsel are of a different view the plaintiff may make submissions on costs in writing within 10 days and the defendant shall reply within 10 days of receiving the plaintiff submissions.

P. B. Hambly J.

Released: January 18, 2011

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ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

Kelly Graham

Plaintiff

And

Patricia Vandersoot and
Pilot Insurance Company

Defendants

REASONS FOR JUDGMENT

P. B. Hambly J.

Released: January 18, 2011